

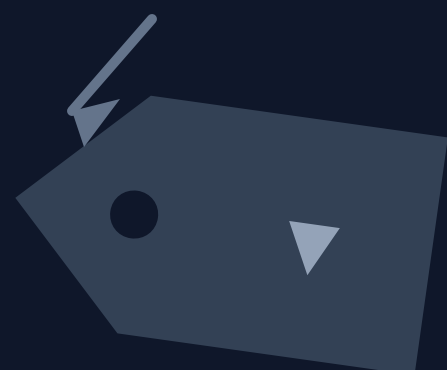


ECONOMICS IN 60 SECONDS

Issue #006

Why can one company raise prices and get richer?

While another raises prices and watches its customers walk out the door.



TIMELESS IDEAS. EVERYDAY IMPACT.

SAME MOVE, OPPOSITE FATE

Both raised prices by twenty percent

The petrol station

PRICE +20%

CUSTOMERS STAYED

You grumbled. You filled up anyway.

The coffee shop

PRICE +20%

CUSTOMERS LEFT

You walked thirty seconds to the next one.

Identical decision. Opposite result. The difference is not luck.

ONE QUESTION BEHIND EVERY PRICE

When the price moves, do the customers?

That single question is the most powerful idea in pricing. If they stay, you hold the power. If they leave, the market does. Economists call it elasticity. In plain terms:

STICKY

They cannot easily say no.

SLIPPERY

They can walk in a heartbeat.

IT IS ALL ABOUT THE EXIT

Customers stay when they have nowhere to go

THEY STAY

No real substitute. A genuine need. A brand they love. A habit they will not break.

THEY LEAVE

A rival next door. A nice-to-have. A purchase they can simply delay.

Pricing power is really a measure of how trapped, or how free, the customer feels.

THEY RAISE PRICES AND WIN

Who can charge almost anything

Apple

A pricier iPhone still sells out. The brand has no real substitute.

Luxury houses

A higher price is the point. It signals status, so demand rises.

Insulin

A medical necessity. The patient cannot simply choose less.

Fuel

Your commute will not wait. You pay whatever the sign says.

Different products. Same secret: the customer has no easy way out.

THEY RAISE PRICES AND LOSE

Who gets punished for the very same move

Streaming

Nudge the fee and subscribers cancel for a rival app.

Airlines (economy)

A few rupees dearer and flyers book the other carrier.

Casual dining

Raise the bill and diners simply eat somewhere else.

Soft drinks

One brand dearer, the shopper grabs the one beside it.

All crowded by substitutes. Here, a price rise is an invitation to leave.

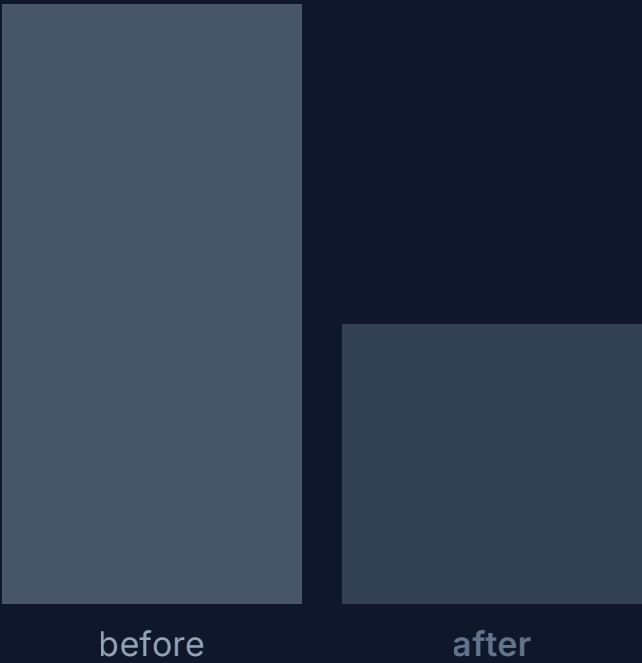
Press the same button.
Get **opposite** results.

PRICING POWER



revenue climbs

NO PRICING POWER



revenue falls

Elasticity is not about curves. It is about **power**, the power to keep customers when you ask for more.

The most valuable businesses are not always the biggest. They are the ones their customers cannot easily leave. Build something hard to walk away from, and you earn the rarest privilege in any market: the freedom to set your price.



Which brand could double its price tomorrow and still keep you as a customer?

That brand has pricing power over you. Name it below, the sharpest answer shapes a future issue.



ECONOMICS IN 60 SECONDS · #006

The Power to Set Your Price

ONE IDEA. BETTER DECISIONS.

Next issue, #007 · Externalities

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